

GZ: 2020-0.591.897 dated November 19, 2021 (Case Number: DSB-D124.422)

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DECISION

RULING

The Data Protection Authority decides on the data protection complaint of Dr. Bernhard A*** (complainant) from **** J***burg dated May 2, 2019 against N*** Bank AG (respondent, registered in the commercial register under FN 7**03*b by the **** court in J***burg) from **** J***burg for violation of the right to confidentiality as follows:

- The c o m p l a i n t i s a c c e p t e d, and it is d e c l a r e d that the respondent has violated the complainant's right to confidentiality by recording the complainant's telephone conversation on April 23, 2019 at 1:41 PM using the phone number +43 5 *4*4 *7*2*1 with an employee of the respondent's branch (filial) designated as "Branch U***zentrum" in **** J***burg and processing (storing) the data of the conversation content.

Legal Basis: Art. 5 para. 1 lit. a and c, Art. 6 para. 1 lit. c and f and para. 3, Art. 51 para. 1, Art. 57 para. 1 lit. f as well as Art. 77 para. 1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter: GDPR), OJ No. L 119 of May 4, 2016, p. 1 et seq. in the current version, Art. 16 para. 6 and 7 of Directive 2014/65/EU (hereinafter briefly; MiFID II), OJ No. L 173 of June 12, 2014, p. 349 et seq.; § 18 para. 1 as well as § 24 para. 1 and para. 5 of the Data Protection Act (DSG), Federal Law Gazette I No. 165/1999 in the current version, § 66 para. 1 of the Payment Services Act 2018 (ZaDiG 2018), Federal Law Gazette I No. 17/2018 in the current version, and § 33 para. 2 to 4 of the Securities Supervision Act 2018 (WAG 2018), Federal Law Gazette I No. 107/2017 in the current version.

REASONING

A. Submissions of the parties and procedural history

1. In his complaint submitted to the Data Protection Authority via email on May 2, 2019, the complainant stated the following: He had called the hotline of the respondent, phone number 05 *4*4*7*2*1, on April 23, 2019. At the beginning of the conversation, he was informed by an automated message that the conversation would be recorded. No option was offered to object to this recording. He sees this as a violation of Art. 6 para. 1 GDPR or, by analogy, an infringement of his fundamental right to confidentiality according to § 1 DSG. He did not give consent to such a recording. Even if such consent were "hidden" in the contractual terms between him and the respondent, it would be invalid according to Art. 7 para. 2 and 4 GDPR. Furthermore, it would be such a clause according to § 879 ABGB in conjunction with § 93 para. 3 TKG 2003 is immoral and void. He has requested that the alleged legal violation be established.

2. The respondent, who was requested by the Data Protection Authority to provide a statement by procedural order dated May 13, 2019, GZ: DSB-D124.422/0003-DSB/2019, has countered in her statement dated May 27, 2019, as follows: It is correct that the respondent records telephone conversations with customers as part of the service "Telebanking." The respondent is not an operator of a public communication service; therefore, § 93 TKG 2003 is not applicable here. She points out, as stated by the complainant, that she informs her customers about the fact of the recording. Consent is not required for this, as the data processing is based on the legitimate interests of the respondent as the data controller according to Art. 6 para. 1 lit. f GDPR as well as her legal obligations according to Art. 6 para. 1 lit. c GDPR.

The respondent is also acting as a payment service provider in this context and is obliged to provide proof according to § 66 para. 1 no. 1 to 3 ZaDiG 2018 for the authentication that has taken place, the proper recording and booking, as well as the technical non-interference of the payment process. The recording serves to authenticate the order and to secure against additional special risks in telebanking such as hearing, understanding, and transmission errors as well as the abusive use of telecommunications means. Furthermore, quality assurance is cited as a processing interest. The recording of the conversation is the most effective, mildest, and most common means in this case. In

the event of non-consent, the legally informed complainant would have had the option to use alternative commissioning methods (online banking, visiting a branch). Therefore, the complaint is unfounded. Further details regarding the content of the transaction carried out cannot be provided due to the obligation to maintain banking secrecy.

3. The complainant, to whom the Data Protection Authority granted party status by procedural order dated July 3, 2020, GZ: DSB-D124.422/0004-DSB/2019, has responded in his statement dated July 24, 2020, as follows: He releases the respondent from banking secrecy regarding the telephone conversation on April 23, 2019; 13:41:49, duration 1:52 minutes, provided that the transmission of a corresponding audio file to the Data Protection Authority is strongly encrypted or takes place on a data carrier. Regarding Art. 6 para. 1 lit. f GDPR, however, his confidentiality interests would outweigh the processing interests of the respondent. He states that the chosen phone number is that of the branch **** J***burg U***zentrum and not a service number specifically set up for telebanking. This number therefore does not fall under the ZaDiG, non-recording obligation telephone calls without special documentation interests, such as inquiries about opening hours or appointment scheduling, as well as calls with "moderate" documentation interests such as pre-ordering larger cash amounts, inquiries about account balances, and requests for the
Blocking Lost Bank Cards

For such conversations, any other documentation (database entry, file note, etc.) would suffice. In the specific case, no transaction in the sense of § 66 para. 1 ZaDiG had been commissioned. Rather, the subject was an inquiry regarding the execution of a money transfer exceeding the e-banking limit. Terminating the conversation after becoming aware of the recording was not an option due to the urgency and could not (reference to Recital 32 of the GDPR) be considered as voluntary consent. A conversation recording constitutes "the gravest conceivable infringement" of the fundamental right to data protection, which is evident from the considerations of the CJEU regarding the inadmissibility of data retention (CJEU 8.4.2014, C-293/12), whereby the respondent not only stores connection data but also the content of the conversation. In any case, the processing of the content data of every telephone conversation, regardless of the content, is excessive and not the least intrusive means. Here, the establishment of a dedicated phone number for documentation-required conversations according to § 66 para. 1 ZaDiG or a menu selection before the start of the recording would be less intrusive means. Furthermore, the respondent is indeed subject to the prohibition under § 93 para. 3 TKG 2003, which applies to everyone. He finally points out that the respondent has so far adhered to its unlawful practice of recording all customer conversations.

4. The respondent, who was requested by the Data Protection Authority with procedural order dated August 6, 2020, GZ: 2020-0.503.601, to provide a supplementary statement on several questions, responded as follows in its statement dated September 9, 2010: It is correct that the phone number +43 5 *4*4 *7*2*1 of the respondent's branch designated "Branch U*** Center" in **** J***burg is assigned. The telephone consulting and service offerings of the respondent are organized in such a way that a customer can either contact their customer advisor directly by phone or reach the respective *** branch via a general phone number. From there, they will then be forwarded to the customer advisor or to a central customer contact center, for which there is also a direct phone number. For all calls, except those that go directly to the customer advisor's phone number, call recording is set up. The respondent is subject, in addition to the documentation obligation already outlined according to ZaDiG, to the recording obligations according to § 33 para. 2 WAG, which have their EU legal basis in Art. 16 para. 7 of Directive RL 2004/39/EC (MiFID II). The European Securities and Markets Authority (ESMA) holds the view regarding the latter provision that in the case of telephone securities services, which already includes advising on the risks of a corresponding transaction, the entire telephone conversation must always be recorded, explicitly also when the "distribution channel" is not intended for orders for securities services. These provisions serve not only evidentiary purposes but also customer and consumer protection. Banking supervisory law does not differentiate, as claimed by the complainant, between conversations of different relevance levels. Since the development of a customer conversation is never entirely foreseeable in advance, it was

decided to establish the extensive call recording as described. In this regard, they now primarily rely on Art. 6.

Abs. 1 lit c GDPR. The recordings would only be accessed and reproduced in justified cases and while maintaining the four-eyes principle. The customers would be unequivocally informed about the recording at the beginning of the conversation, thus there is no secret or covert recording of the conversation, and they would have the option to directly contact their customer advisor or visit a branch of the respondent in case of disagreement. A technical option to not start or to interrupt the recording, as demanded by the complainant, poses the risk of manipulation due to incomplete documentation and contradicts the legal view presented by ESMA. Therefore, no less intrusive means have been demonstrated to comply with the requirements of the supervisory authorities. Should the data protection authority hold a different view, the Austrian Financial Market Authority (FMA) should be consulted on this issue beforehand. The complaint is unfounded, which is why the respondent has requested that the proceedings be terminated in accordance with § 24 Abs. 6 DSG, or alternatively, to dismiss the complaint.

5. The complainant, who was granted another opportunity to be heard by the data protection authority with procedural order dated September 10, 2020, GZ: 2020-0.578.835, responded in his statement dated September 15, 2020, as follows: He maintains his arguments regarding the alternative design of the conversation recording (choice option) as a less intrusive means, also with regard to § 33 WAG. This is all the more relevant since the respondent operates its own "Securities Hotline" with the phone number 05 *6 *8*0*2, according to its own statements. The source provided by the respondent regarding the extensive recording obligation required by ESMA is merely a catalog of questions and answers without legal binding force, which cannot override rights under the GDPR and moreover originates from before the GDPR came into effect. The GDPR is also the more recent and detailed act of Union law in relation to MiFID II. Furthermore, the opinion of ESMA indicates that a recording obligation applies only when the telephone conversation is contextually related to the securities services and investment activities listed in Annex I, Section A of MiFID II. Additionally, the respondent's argumentation is inconsistent and incomplete when it states that calls made to the personal phone number of the responsible customer advisor are not recorded, as a connection to the recording-obligated securities services cannot be excluded in such conversations either. A statement published in the Official Journal of the EU (OJ C 147 of May 25, 2012, p. 1, para. 31) by the European Data Protection Supervisor (EDPS) regarding MiFID II further indicates that he assumes a strictly purpose-bound interpretation of Art. 16 Abs. 7 MiFID II and thus not a general recording obligation for telephone conversations with banks. The recording obligation serves exclusively to secure evidence for the purposes of supervisory measures, and, contrary to what the respondent has stated, access for the bank itself, for example for quality assurance purposes, would not be permitted without a request from a supervisory authority such as the FMA.

B. Subject of the Complaint

6. From the submissions of the parties, it is evident that the subject of this proceeding is the question of whether the respondent has violated the complainant's fundamental right to the confidentiality of personal data by recording the content of a telephone conversation between the complainant and one of its branches on April 23, 2019.

C. Findings of Facts

7. The respondent, organized as a stock corporation (registered in the commercial register under FN 7**03*b by the **** court J***burg), holds banking licenses, among others, pursuant to § 1 Abs. 1 Z 1 BWG (deposit business), § 1 Abs. 1 Z 2 BWG (current account business), § 1 Abs. 1 Z 5 BWG (custody business), and § 1 Abs. 1 Z 7 BWG (foreign exchange and currency business, money market instrument business, futures and options business, securities business).

8. Evaluation of Evidence: These findings are based on undisputed submissions from both parties, the public commercial register, as well as an official inspection of the public corporate database of the

Financial Market Authority (<https://www.fma.gv.at/unternehmensdatenbank-suche/>) on November 11, 2021 (result attached in GZ: 2020-0.591.897 = case number of this decision).

9. The complainant was a customer of the respondent on April 23, 2019. On that day, he dialed the known phone number +43 5 *4*4 *7*2*1 at 1:41 PM, which is assigned to the branch of the respondent designated "Branch U***zentrum" in **** J***burg. Before the call was connected, he was informed by an automated recording stating, "Welcome to N***. The following conversation will be recorded for documentation of the content and quality assurance," about the fact that all calls to branches and central service hotlines of the respondent, including the general service number for private customers +43 5 *2*6*0 and the N*** securities hotline +43 5 *6*8*0*2, are fully recorded. Calls to the personal (mobile) phone numbers of individual customer advisors are exempt from this rule.

10. Evaluation of Evidence: These findings are based on the corresponding and undisputed statements from both parties (submissions from the respondent dated May 2, 2019, attached in GZ: DSB-D124.422/0004-DSB/2019, and from September 9, 2020, attached in GZ: 2020-0.578.835, as well as the submission from the complainant dated July 24, 2020, attached in GZ: 2020-0.503.601).

11. The subsequent conversation conducted by the complainant with an employee of the "Branch U***zentrum," lasting 1 minute and 52 seconds, concerned the question of how the complainant could best place a money transfer exceeding the limit for orders via online banking. The conversation was recorded, and the content data is processed (stored) by the respondent.

12. Evaluation of Evidence: as previously stated, specifically the statement of the complainant dated July 24, 2020. These findings could be made based on the credible submissions of the complainant, without undertaking investigative steps that could affect the so-called banking secrecy.

D. From a legal perspective, it follows:

D.1. Summary:

13. The complaint has proven to be justified, as the respondent has failed to demonstrate the legality of their data processing in terms of fulfilling a legally imposed obligation or the existence of overriding legitimate interests.

D.2. Applicable Legal Provisions:

14. § 1 para. 1 and 2 of the Data Protection Act reads as follows, including the heading:

"Fundamental Right to Data Protection

§ 1. (1) Everyone has the right, particularly with regard to the respect for their private and family life, to the confidentiality of their personal data, provided there is a legitimate interest in doing so. The existence of such an interest is excluded if data, due to their general availability or because they cannot be traced back to the data subject, are not subject to a confidentiality claim.

(2) To the extent that the use of personal data does not occur in the vital interest of the data subject or with their consent, restrictions on the right to confidentiality are only permissible to safeguard overriding legitimate interests of another party, and in the case of interventions by a state authority, only based on laws that are necessary for the reasons stated in Article 8 para. 2 of the European Convention on Human Rights and Fundamental Freedoms (ECHR), Federal Law Gazette No. 210/1958. Such laws may only provide for the use of data that is particularly worthy of protection for the safeguarding of important public interests and must simultaneously establish appropriate guarantees for the protection of the confidentiality interests of the data subjects. Even in the case of permissible restrictions, the intervention in the fundamental right may only be carried out in the least intrusive manner necessary to achieve the objective."

15. According to the principles in Article 5 para. 1 lit a and c of the GDPR, personal data must be processed lawfully, fairly, and in a transparent manner in relation to the data subject ("Lawfulness, Fairness, Transparency"), and must be adequate, relevant, and limited to what is necessary in relation to the purposes for which they are processed ("Data Minimization").

16. According to the conditions for the lawfulness of processing in Article 6 para. 1 lit c and f of the GDPR, processing is only lawful if, among other things, alternatively, the processing is necessary for compliance with a legal obligation to which the controller is subject (lit c) or the processing is necessary for the purposes of legitimate interests pursued by the controller or a third party, unless the

interests or fundamental rights and freedoms of the data subject, which require protection of personal data, override those interests, particularly when the data subject is a child (lit f).

17. According to § 1 para. 3 no. 1 ZaDiG 2018, credit institutions as defined in § 1 BWG, CRR credit institutions as defined in § 1a no. 1 BWG, as well as credit institutions that are authorized under the law of their home Member State to provide payment services, including their branches and branches of foreign credit institutions as defined in § 2 no. 13 BWG, provided that these branches are located within the EEA, are payment service providers.

18. § 66 para. 1 ZaDiG 2018 reads as follows, including the heading:

“Proof of Authentication and Execution of Payment Transactions

§ 66. (1) If a payment service user disputes having authorized an executed payment transaction or claims that the payment transaction was not executed properly, the payment service provider must prove that

1. the payment transaction was authenticated,
2. was properly recorded and booked, and
3. was not affected by a technical error or another disruption of the service provided by the payment service provider.”

19. According to § 1 para. 1 no. 2 and no. 7 lit. e BWG, a credit institution is anyone who is authorized to conduct banking transactions based on §§ 4 or 103 no. 5 of this Federal Law or special federal legal regulations. Banking transactions include, among others, the execution of cashless payment transactions and settlement transactions in current accounts for others (current account business) (no. 2), the safekeeping and management of securities for others (custody business) (no. 5), as well as trading on one's own or others' account with securities (securities business) (no. 7 lit. e), provided they are conducted commercially.

20. § 33 WAG 2018 reads as follows, including the heading:

“Obligation to Maintain Records

§ 33. (1) A legal entity must maintain records of all its services, activities, and transactions, based on which the FMA can fulfill its supervisory duties and take enforcement measures provided for in this Federal Law, in the BörseG 2018, in Regulation (EU) No. 600/2014, and in Regulation (EU) No. 596/2014, and can ensure in particular that the legal entity has complied with all obligations, including those towards its customers or potential customers and regarding market integrity.

(2) The records according to para. 1 must include the recording of telephone conversations and electronic communications at least in relation to transactions conducted for one's own account and the provision of services related to the acceptance, transmission, and execution of customer orders.

(3) Telephone conversations and electronic communications according to para. 2 also include those that are intended to initiate transactions within the framework of trading for one's own account or the provision of services related to the acceptance, transmission, and execution of customer orders, even if these conversations and communications do not lead to the conclusion of such transactions or the provision of such services.

(4) A legal entity must take all reasonable measures for the purposes mentioned in paras. 2 and 3 to record relevant telephone conversations and electronic communications that are created or sent or received by devices that the legal entity has provided to an employee or freelancer or whose use by an employee or freelancer has been approved or permitted by the legal entity.

(5) A legal entity must inform new and existing customers that telephone conversations or electronic communications between the legal entity and its customers, which may lead to transactions, are recorded. It is sufficient to inform new and existing customers once before providing the securities services, but at least once a year.

(6) A legal entity that has not informed its customers in advance about the recording of their telephone conversations or communications is not permitted to provide these telephone securities services or engage in telephone investment activities if these securities services and investment activities relate to the acceptance, transmission, and execution of customer orders.

(7) Customers may place their orders through other channels; however, such communications must be

made via a durable medium, such as email, fax, or records of customer orders created during a meeting. In particular, the content of relevant personal conversations may be recorded by creating written minutes or notes. These orders are considered equivalent to those received by telephone.

(8) A legal entity must take all reasonable measures to prevent an employee or freelancer from creating, sending, or receiving telephone conversations or electronic communications using private devices that the legal entity cannot record or copy.

(9) A legal entity must make the records stored in accordance with paragraphs 2 to 8 available to the relevant customers free of charge upon request and must retain them for five years. The FMA may order longer retention periods by regulation after a thorough examination of their necessity and proportionality if this is required for evidentiary purposes due to the specific circumstances of certain types of legal entities. The retention periods may not exceed seven years.

(10) The FMA is responsible for monitoring compliance with paragraphs 1 to 9 concerning transactions conducted by domestic branches of securities firms and credit institutions based in a member state or a third country. This is without prejudice to the direct access of the competent supervisory authority of the home member state of the legal entity to these records.

21. Article 16 paragraphs 6 and 7 MiFID II reads as follows, including the heading:

“Article 16

Organizational Requirements

(1) [...] (5) [...]

(6) A securities firm ensures that records are maintained of all its services, activities, and transactions that are sufficient to enable the competent authority to fulfill its supervisory duties and to take enforcement measures as provided for in this directive, in Regulation (EU) No. 600/2014, in Directive 2014/57/EU, and in Regulation (EU) No. 596/2014, and to ensure, in particular, that the securities firm complies with all obligations, including those towards customers or potential customers and regarding market integrity.

(7) The records include the recording of telephone conversations or electronic communications at least in relation to transactions conducted for own account and the provision of services related to the acceptance, transmission, and execution of customer orders.

These telephone conversations and electronic communications also include those intended to initiate transactions within the framework of trading for own account or the provision of services related to the acceptance, transmission, and execution of customer orders, even if these conversations and communications do not lead to the conclusion of such transactions or the provision of such services.” Securities firms take all reasonable measures for this purpose to record relevant telephone conversations and electronic communications that are created with devices provided by the firm to an employee or freelancer, or whose use by an employee or freelancer has been approved or permitted by the firm. A securities firm informs new and existing customers that telephone conversations or communications between the securities firm and its customers, which lead or may lead to transactions, will be recorded. It is sufficient to inform new and existing customers once before providing securities services. A securities firm that has not informed its customers in advance about the recording of their telephone conversations or communications may not provide telephone securities services or engage in telephone investment activities for these customers if such securities services and investment activities relate to the acceptance, transmission, and execution of customer orders. Customers may place their orders through other channels; however, such communications must be made via a durable medium, such as email, fax, or records created during a meeting regarding customer orders. In particular, the content of the corresponding personal conversations may be recorded by making written minutes or notes. These orders are considered equivalent to those received by telephone. A securities firm takes all reasonable measures to prevent an employee or freelancer from creating, sending, or receiving telephone conversations or electronic communications using private devices that the firm cannot record or copy. The records stored in accordance with this paragraph will be made available to the relevant customers upon request and will be retained for five years. If required by the competent authority, they will be retained for up to seven years.

D.3. Scope of § 1 DSG and Art. 6 GDPR:

22. In the present case, it should first be noted that while the complainant has asserted a violation of Art. 6 para. 1 GDPR (conditions for the lawfulness of data processing under the principles of Chapter II of the GDPR), the rights of the affected parties are exhaustively listed in Chapter III of the GDPR (Art. 12 to 23). According to the case law of the data protection authority, an affected person can, in principle, rely on any provision of the GDPR, provided that this ultimately leads to a conceivable violation of the right to confidentiality under § 1 para. 1 DSG (see decision of 13. 9.2018, DSB-D123.070/0005-DSB/2018, RIS, et al.). Accordingly, a violation of the right to confidentiality was to be examined, as an unauthorized recording of the content of a telephone conversation would clearly fulfill the elements of such an infringement.

D.4. Art. 6 para. 1 GDPR - Regulatory content of § 66 para. 1 ZaDiG 2018:

23. The respondent is a credit institution and thus a payment service provider according to § 1 para. 3 no. 1 ZaDiG 2018. § 66 para. 1 ZaDiG 2018 is therefore applicable to its relevant transactions, such as current account business. Contrary to what the respondent has claimed, § 66 para. 1 ZaDiG 2018 does not regulate any statutory obligation imposed directly on the respondent to maintain records, such as recording the content of telephone conversations, but merely establishes a...

****Obligation to Provide Evidence****

(Burden of Proof)

of the

Payment Service Provider

in

disputes

in favor of

the Payment Service Users is established. This conclusion also arises from the fact that a violation of § 66 para. 1 ZaDiG does not entail any further legal consequences, particularly is not punishable as an administrative offense under §§ 99 to 101 ZaDiG 2018.

24. How exactly this proof is to be provided is not further regulated by law and therefore remains at the discretion of the payment service provider or those authorities that have to decide in a dispute. From this provision, no obligation can be derived to record the content of telephone conversations that do not concern the authentication of a payment transaction via so-called telephone banking. In the latter case, the provision can be understood as an authorization, provided that no other practicable and less data protection-intensive means is available.

25. Since the complainant, according to the factual findings, inquired about possibilities for carrying out a payment transaction but did not order or authenticate such a payment transaction (see above, para. 11), the respondent could not rely on § 66 para. 1 ZaDiG 2018 in conjunction with Art. 6 para. 1 lit. c GDPR regarding the recording of telephone conversations.

D.5. Art. 6 para. 1 GDPR - Regulatory Content of § 33 WAG 2018 (Art. 16 para. 6 and 7 MiFID II):

26. The situation is different with the provisions of § 33 WAG 2018, as a direct obligation of the respondent can be derived from these to record the content of telephone conversations upon fulfillment of certain factual conditions.

27. Since this constitutes an interference both with the national fundamental right to data protection according to § 1 DSG and with the Union fundamental right according to Art. 8 CFR, this provision must be interpreted in accordance with the content of the underlying Union law (Art. 16 para. 6 and 7 MiFID II) in a manner that is compliant with fundamental rights. As the complainant further correctly stated, the issuance of the MiFID II directive (May 14, 2014) is, in terms of the lex posterior rule, a legislative act that occurred temporally before the GDPR (April 27, 2016).

28. According to § 33 para. 2 WAG 2018, the decisive core factual condition that obligates the recording of the content of telephone conversations is that they concern telephone conversations at least in relation to the provision of services that relate to the acceptance, transmission, and execution of customer orders. This likely refers to telephone orders within the framework of securities transactions, such as a customer's buy and sell orders. Explicitly included in the obligation according to § 33 para. 3 WAG 2018 are also telephone conversations "with which transactions are to be initiated in the context of trading for one's own account or the provision of services that relate to the acceptance,

transmission, and execution of customer orders, even if these conversations and communications do not lead to the conclusion of such transactions or the provision of such services." Thus, they are also subject to

****Preliminary and Advisory Conversations, Regardless of Which Side Initiated Them, Are Subject to the Recording Obligation.****

29. The wording of the cited provisions of the WAG 2018 (shortened, omitting the passages relating to other "electronic communication") is identical to Article 16(7) first and second subparagraphs of MiFID II. The word "at least," which gives the wording of the provision a non-exhaustive content, also appears in other language versions of MiFID II with the same meaning (in English "at least," in French "au moins").

30. The crucial sentence from the recitals of the Union legislators regarding MiFID II, from the perspective of the data protection authority, can be found at the end of Recital 57. It states, after referring to predecessor provisions: "For these reasons, the present directive should contain the principles of a general regulation regarding the recording of telephone conversations or electronic communications concerning customer orders." (Emphasis by the data protection authority). Therefore, it cannot be assumed that the legislators of the European Union intended to grant securities service providers an authorization or even an obligation to record all telephone conversations held between them and their customers, including those without "reference to customer orders." It is even less plausible that a bank like the company of the respondent, which offers a range of services beyond securities services, should be required to record all calls. Such an interpretation of the provision would attribute to it a non-purposeful, excessive, and thus unconstitutional content.

31. From the heading before Article 16 MiFID II ("Organizational Requirements"), it can also be concluded that securities service providers are not only obliged to take certain intervention actions (i.e., to make recordings), but that they are also required, in light of the later enacted GDPR, to organize their internal structure in such a way that the interventions mandated by Article 16 MiFID II into the fundamental rights of the affected persons are "limited to what is necessary for the purposes of processing" in accordance with Article 5(1)(c) and Article 6(3) GDPR. The purpose here is, on the one hand, to enable the competent authority to fulfill its supervisory duties and to take enforcement measures provided for in the applicable legal provisions, and to ensure, above all, that the securities firm complies with all obligations, including those towards customers or potential customers and regarding market integrity (Article 16(6) MiFID II), and on the other hand, to secure evidence in the interest of the customers as well (Article 16(7) last subparagraph MiFID II).

32. The respondent should therefore, as the complainant has correctly argued, have organized itself in such a way that telephone conversations that fall under a recording obligation, particularly under that according to § 33 WAG 2018, are conducted separately from other customer conversations. It is reasonable to expect those customers of a bank who wish to process telephone purchase and sale orders for securities or receive corresponding advice to use a specially designated phone number for such calls, the contents of which are continuously recorded. The respondent's argument that any telephone conversation with a customer could develop into a recordable conversation is unconvincing, as in that case, all conversations with employees of the respondent, from the porter to the CEO, would have to be recorded, which, as noted (see above, para. 9, last sentence), is not the case and would, moreover (see above para. 30), be even more excessive.

33. The same applies mutatis mutandis to telephone conversations that can be covered by the respondent's authorization for evidence preservation according to § 66(1) ZaDiG 2018.

****D.6. Article 6(1) GDPR - Balancing Other Interests:****

34. The respondent further argued that it could justify its intervention through other legitimate interests according to Article 6(1)(f) GDPR, particularly that of "quality assurance" of its services.

35. The respondent did not provide further explanations as to why this unspecified interest, which is protected by fundamental rights according to Article 8 CFR and § 1(1) DSG, should outweigh the

complainant's interest in confidentiality or non-processing of his data.

36. The respondent has thus failed, in accordance with Article 5(2) GDPR, to demonstrate compliance with the principles for processing personal data according to Article 5(1)(a) (lawfulness, processing in good faith, transparency) and (c) (data minimization) within the framework of its accountability.

****D.7. Conclusions:****

37. The respondent has interfered with the complainant's fundamental right to confidentiality of his personal data (non-recording of his conversation with a bank employee that was not related to securities transactions or payment orders) without being able to demonstrate a legal obligation imposed on it applicable in this case or legitimate interests that outweigh the complainant's interest in confidentiality.

38. The data processing was therefore not lawful, and it was accordingly determined, pursuant to § 24(5) first sentence, that there was a violation of the complainant's right to confidentiality.